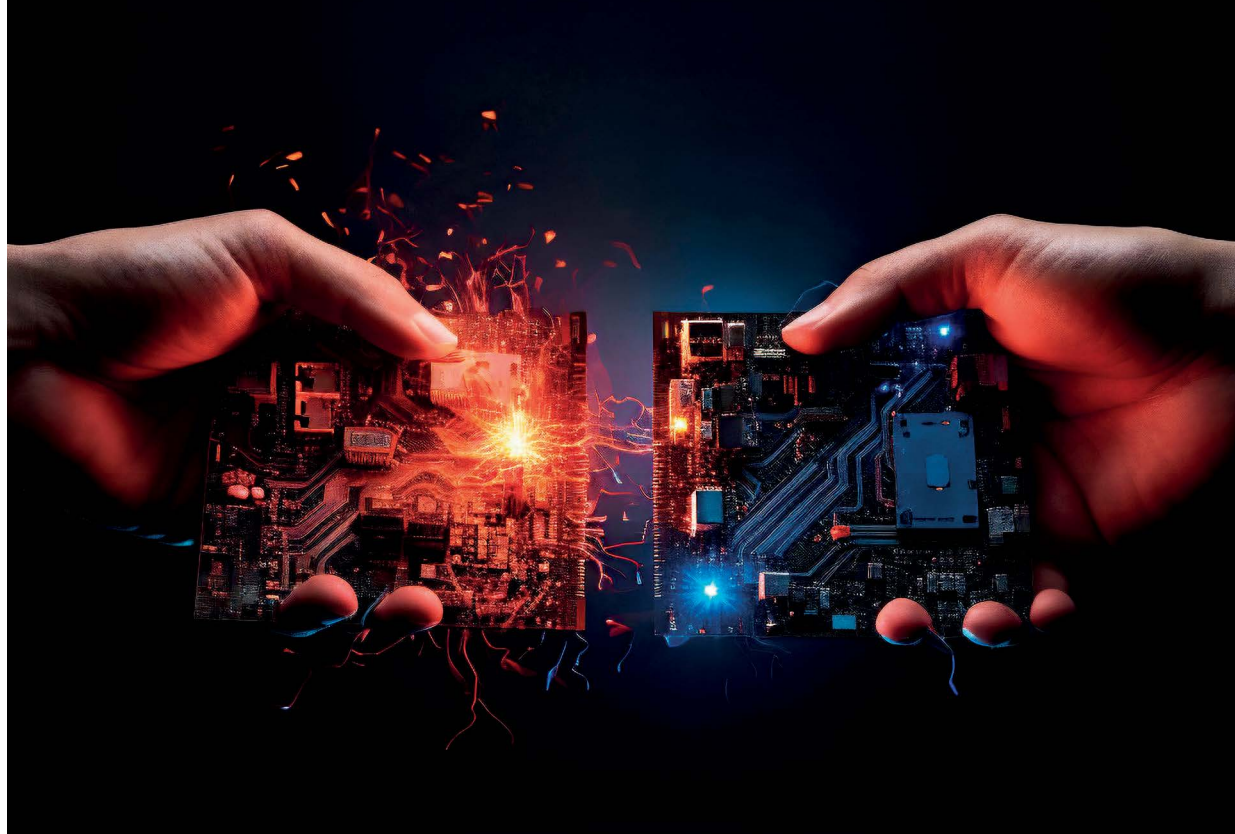




AI GENERATED IMAGE BY VISHAL GHAVRI

CHANGE OF PLANS With Foxconn out of the picture, Vedanta will not only have to look for a partner that provides the technology, but also a way to find customers for its chips

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CHIPPING AWAY

With Vedanta and Foxconn parting ways, their plans to venture into semiconductor manufacturing have taken a massive hit. Who they partner with next remains to be seen

BY NIDHI SINGAL

► **WHEN THE INDIAN** government had announced an incentive scheme in December 2021 to develop a semiconductor ecosystem in the country, the only Indian business house that committed to the opportunity was Anil Agarwal-led Vedanta Group. With no prior experience in electronics manufacturing, let alone semiconductors, the gas-to-metals conglomerate had entered into a joint venture with Taiwan's Hon Hai Technology Group (Foxconn) to apply for it. Along with a partner who would bring in the technology and know-how needed to produce chips—which only a handful of companies in the world possess—

DESPITE THE SPLIT, BOTH ARE SET TO PURSUE THEIR PLANS FOR FAB IN INDIA

the two were to set up one of the first semiconductor fabrication plants in the country. With a 67 per cent stake in the joint venture (JV), Vedanta was responsible for building the fab, while Foxconn was responsible for bringing in the technology partner, David Reed, CEO of the Vedanta-

Foxconn Semiconductors JV, had told *BT* earlier.

Now, more than a year after unveiling their plans, the two have parted ways, with Foxconn announcing that it has decided not to move forward with the JV. Industry experts attribute the reason for this to Vedanta's possible financial troubles and the delay in getting government approvals. But this doesn't stop their semiconductor fab plans since both Vedanta and Foxconn are separately scouting for partners to get things started.

Two days after Foxconn's announcement, Anil Agarwal said at the company's 58th annual general